

Terrace council begins process to set zoning rules for data centres

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Terrace council begins process to set zoning rules for data centres City staff directed to draft zoning amendment on data centres Terrace city council is moving ahead with a plan to create zoning rules for data centres that would ensure the public has a chance to weigh in on future proposals. Council previously directed staff to look into options for regulating data centre use after a motion from Coun. James Cordeiro was carried at a meeting on June 8. Staff have now been directed to draft an amendment to the zoning bylaw, including a specific definition for a data centre. No specific data centre project has been approved. Instead, the motion begins the process of creating zoning rules to govern where the facilities could be located in the future. "When you change a bylaw, it means you have to have a public hearing," said Terrace Mayor Sean Bujtas. "I think under this one, it's very important that the public has the opportunity to speak and give us their thoughts on data centres." - Terrace explores possible zoning changes to increase scrutiny of data centres - More stories from Northern B.C. Several data centre proposals in recent years: staff According to a report to council, Terrace has seen several proposals in recent years for data centres and other large-scale computing projects, including AI processing and cryptocurrency mining operations. Staff noted data centres can require large parcels of land, significant electrical service and water for cooling, raising questions about where they should be located and how large they should be. Zoning can influence the size and location of a facility, but power and water supply remain largely outside of municipal control, the report explained. Most recently, the city has engaged in discussions with proponents investigating the feasibility to develop data centres in the Skeena Industrial Development Park near the airport, the report said. Vancouver-based entrepreneur Christopher Chong has previously told CBC News the Skeena Data Centre is in the early stages and there has been no firm decision on its feasibility. In 2022, staff researched data centre activities and how other jurisdictions regulated the emerging industry, it added, prompted by enquiries to establish large-scale cryptocurrency mining facilities near the airport and B.C. Hydro substation. At the time, staff had concerns about the power demand, low employment, environmental effects, as well as questions about potential municipal tax revenues. The report noted data centres are currently assessed as business use rather than major industry, meaning they may generate less municipal tax revenue than other industrial developments. Public input necessary, says mayor Terrace's zoning bylaw does not currently have a specific category for data centres, so city staff have been treating them as an industrial use that could be permitted in certain industrial zones. Terrace has industrial land directly in the downtown core, Bujtas said, as well

as other areas. Currently, if a data centre fits into industrial zoning, it could be put there without triggering a public hearing, he added. "People don't want vape shops, but you can't really stop them because the property is zoned correctly. The same thing happens in industry," said Bujtas. "I think it's very important to give the public an opportunity to speak." Staff will be making several considerations, including what size may be reasonable, and whether certain locations should be off limits, like the industrial use land downtown. Council debated whether to prohibit data centres, limit them to airport industrial lands, or allow them in industrial areas with rules on where they can go and how large they can be. "I think this is a really excellent example of the ways in which local governments have to think about how their decisions work ... how to cautiously approach emerging technologies," said Coun. Chris Apps. "We're exploring sort of some outside the box thinking about how to approach regulating something that the community is obviously concerned about." Bujtas said he would like to keep all options open as council considers next steps. "We want to attract industry to the industrial park, it's the whole way this town is going to move forward and survive, is to find industry to tax," he said. "I think we need to listen to opportunities, and some opportunities just aren't going to make sense for us."